Quarterly Operations Report, Second Quarter 2026

1. Summary

The Authority delivered 41.2 million cubic metres of treated water between April and June, 2.6% more than in the same quarter last year. Compliance with drinking-water standards stood at 99.97% across 4,812 samples. Leakage fell for the fourth consecutive quarter, helped by the completion of pressure management in three more zones.

2. Network performance

2.1 Leakage by supply zone

Table 1 compares the four largest zones. Figures are litres per connection per day, averaged over the quarter.

Table 1. Leakage by supply zone

Zone	Q2 2025	Q1 2026	Q2 2026	Change
North Ridge	112	104	98	-6.1%
Harbour	131	125	121	-3.2%
Millbrook	96	92	93	+1.1%
Old Town	148	139	130	-6.5%

The infrastructure leakage index is calculated from the current annual real losses and the unavoidable annual real losses:

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ILI = CARL / UARL
UARL = (18 * Lm + 0.8 * Nc + 25 * Lp) * P
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2.2 Customer contacts

Contacts about discoloured water rose after the March mains flushing programme and have since returned to normal. The main reasons for contact were:

- billing and meter queries (38% of contacts);
- discoloured water (29%), of which:
  - customers on the North Ridge main (212 contacts);
  - customers elsewhere in the network (97 contacts);
- no supply or low pressure (17%);
- other enquiries (16%).

3. Capital programme

Spending on the capital programme reached 61% of the annual budget by the end of June. Table 2 lists every scheme that was active during the quarter, grouped by asset type.

Table 2. Active capital schemes, Q2 2026

Ref.	Scheme	Budget ($k)	Spent ($k)	Status
Mains renewal				
M-101	North Ridge trunk main, phase 2	4,200	3,950	On site
M-102	Harbour Road 300 mm relay	1,850	1,120	On site
M-107	Millbrook distribution rings	960	210	Design
M-110	Old Town lead service replacement	2,300	1,740	On site
M-115	Station Street crossing	430	430	Complete
Treatment works				
T-201	Cedar Hill filter hall refurbishment	5,600	3,210	On site
T-204	UV disinfection, Cedar Hill	3,100	2,980	Commissioning
T-209	Chemical dosing upgrade, Weir Lane	1,240	310	Design
T-212	Sludge thickener replacement	2,050	0	Tender
Pumping and storage				
P-301	Harbour booster pumps	1,430	1,390	Complete
P-305	North Ridge reservoir roof	3,380	2,010	On site
P-308	Telemetry outstations, 40 sites	770	415	On site
P-311	Millbrook tower recoating	1,120	0	Tender
Total		**28,430**	**17,765**	

4. Financial position

Operating income for the quarter was $38.4 million against a budget of $37.9 million. Operating costs came in $0.5 million under budget, mainly because of lower energy prices at the treatment works. The figures below are in millions of dollars and are unaudited.

Item	Q2 2026	Budget	Variance
Operating income	38.4	37.9	+0.5
Operating costs	27.1	27.6	-0.5
Net operating surplus	11.3	10.3	+1.0
Debt service	6.2	6.2	0.0
Surplus after debt service	5.1	4.1	+1.0

Cash reserves at 30 June were equivalent to 212 days of operating costs, comfortably above the minimum of 120 days set in the financial policy. No new borrowing was drawn during the quarter.

5. Recommendations

The Board is asked to note this report and to approve the following actions:

1. Release the contingency held for scheme T-212 once tenders are returned.
2. Extend pressure management to the remaining five zones during the next financial year.
3. Publish the leakage figures on the Authority website each quarter.
4. Approval of the scheme is subject to:
   (a) a satisfactory review of the tender evaluation;
   (b) confirmation of the funding profile.

The next report will cover the third quarter and will be published in October.